

World in Brief: Trump denies Iran investment plans; SpaceX's value jumps even higher



Photograph: Getty Images

Donald Trump said **America** will not invest in **Iran** as part of the ceasefire deal between the two countries, denying reports of a \$300bn investment fund. He added that if Iran does not “behave”, America will “go right back to dropping bombs”. Earlier Iran said the war would not “fully” end until Israel withdraws from southern Lebanon, where it has been fighting Hizbullah, an Iran-backed militia.

SpaceX shares rose 4.5% in pre-market trading ahead of their fourth day on the public markets. The rocketry and artificial-intelligence firm became the world’s fifth-most valuable company on Tuesday, surpassing Amazon. Since its [record initial public offering](#), SpaceX has announced it will pay \$60bn in shares for Anysphere, which makes Cursor, a popular tool for writing code using AI.

Volodymyr Zelensky, **Ukraine’s** president, met Donald Trump at the G7 summit in France. The American president later said that “Russia should make a deal.” France’s president, Emmanuel Macron, was overheard telling Mr Zelensky that his discussion with Mr Trump regarding Ukraine had been “difficult”. European

leaders have urged America's president to host [peace talks](#). Earlier G7 heads agreed to tighten Russian-energy sanctions.

The **European Parliament** voted to allow countries to open “return hubs” outside EU borders. Migrants without the right to remain may be held while awaiting deportation, or detained indefinitely. The tough reforms will also allow authorities to search homes and seize personal belongings. The legislation follows public pressure on lawmakers to limit migration; its draft text was criticised by human rights groups.

The **International Energy Agency** said it expects the **oil** market to swing into a significant surplus in 2027, assuming the peace deal between America and Iran holds. A surge of 8m barrels per day (bpd) in supply is predicted for 2027 as trade flows normalise, far outstripping an expected 2m bpd rise in demand. The IEA said the oil glut may provide an opportunity for squeezed countries to replenish depleted stocks.

The FBI said it thwarted an **attack** on the **White House** during Mr Trump's 80th-birthday celebrations. The agency said that anti-government conspiracy theorists planned a drone attack on an [Ultimate Fighting Championship cage fight](#) taking place on the lawn. They then intended to shoot attendees as they fled. J.D. Vance, the vice-president, suggested the plot was not close to “the point of execution”. Five people were arrested.

Allbirds, a former footwear brand [popular with millennials](#), changed its name to Smartbird, as part of its transformation from a shoe company to an AI-infrastructure provider. The firm appointed Nadia Carlsten as chief executive to manage the pivot, which sent shares soaring by nearly 600% when it was announced in April. Allbirds sold its footwear assets to American Exchange Group, a brand-management firm, for \$39m in March.

Figure of the day: 30,000, the annual migration to Shaoxing from elsewhere in China. [Read](#) about the draws to China's most "liveable" city.

US in Brief: Trump gets bruised in the Peach State



Photograph: Jason Getz/Atlanta Journal-Constitution via AP

In **Georgia**, Rick Jackson (pictured) defeated Burt Jones in a run-off to be the Republican candidate for governor. The result is a rare blow in the [Republican primary cycle](#) to Donald Trump, who had endorsed Mr Jones, the lieutenant governor. Mr Jackson, who made his billions in health-care, is a political novice who spent more than \$100m on his campaign. Still, the president's preferred candidate did win the run-off for a Senate nomination: Mike Collins beat Derek Dooley, and will face the Democratic incumbent, Jon Ossoff, in November.

Trump-backed candidates fared well in other primaries. In **Alabama** Barry Moore, a congressman, defeated Jared Hudson, a retired Navy SEAL, in the race to be a Republican candidate for Senate. Meanwhile, in **Oklahoma** Mike Mazzei, who also received the president's endorsement, will head to a run-off for the Republican nomination for governor against Gentner Drummond, the state's attorney-general.

As Congress waited to see more details on Mr Trump's [deal with Iran](#), the Senate narrowly voted 47-48 against advancing a **war powers resolution**. Four Republicans sided with Democrats' attempt to curb Mr Trump's ability to authorise further military action in Iran, including Bill Cassidy of Louisiana and Susan

Collins of Maine. John Fetterman of Pennsylvania was the only Democrat to oppose the measure.

Prosecutors charged 15 people in **Minnesota** for blocking immigration-enforcement officers during raids in the state. The US attorney for Minnesota, Daniel Rosen, claimed those charged were linked to antifa, a loosely defined left-wing movement; the allegations against them include conspiracy to impede or injure a federal officer. In January the Trump administration's immigration crackdown in the state [sparked widespread protests](#).

Kevin Warsh's first test at the Fed



Photograph: Getty Images

Kevin Warsh remains something of a mystery. For most of his career, America's new Federal Reserve chair was a monetary hawk. During his confirmation hearing he argued that "inflation is a choice" for which central bankers must take responsibility. Yet to secure a nomination from Donald Trump, he softened his stance and [made the case](#) for lower rates. He has suggested that a productivity boom driven by artificial intelligence would vanquish inflation, allowing for looser policy. Many of his colleagues have questioned this unconventional argument.

Markets will get their first real glimpse of Mr Warsh on Wednesday, when he holds a press conference after his first policy meeting as chair. Interest rates are expected to remain unchanged. More revealing will be his rhetoric. Core inflation remains elevated and the labour market resilient, pushing many Fed officials towards a more hawkish stance. Investors will be listening for which version of Mr Warsh has come to work: the one that follows the hardliners—or continues to make the dovish case.

The scandals of Spain's Socialists



Photograph: Alamy

On Wednesday José Luis Rodríguez Zapatero, a former prime minister of Spain, appeared in court to be questioned about suspected influence peddling. The case centres around a €53m (\$62m) bail-out by Pedro Sánchez's government of a small Venezuelan-Spanish airline during the pandemic. Mr Zapatero, an ally of Mr Sánchez, will deny allegations that he was bribed to arrange the otherwise hard-to-justify deal.

It is [not the only scandal](#) in the prime minister's circle. Two former aides have separately been charged with corruption, and his wife may also face trial for influence-peddling. Another judge is looking at the activities of a former party member accused of having tried to quash some of these probes. All involved deny wrongdoing; some ministers complain of a witch-hunt. Mr Sánchez would rather people talked about Spain's robust economic growth, or the Pope's endorsement of his welcoming immigration policy. Instead, he faces calls for a general election that polls suggest the right would win.

Britain's inflation rate unexpectedly holds steady



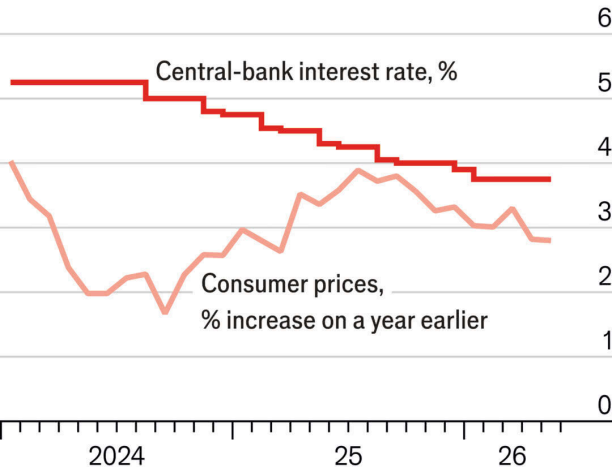
Photograph: Shutterstock

Data released on Wednesday showed that Britain's annual inflation rate was 2.8% in May, unchanged from April. That the rate held steady may not be enough to calm the nerves of monetary hawks. They are worried that inflation continuing to be higher than the Bank of England's 2% target will cause Britons to demand pay awards which stoke inflation further. Before the release, the bank's polling found that the public expected inflation a year hence to be 4%, up from 3.2% when polled last quarter.

Hawks may still push for a hike when the bank sets interest rates this week. However May's number is lower than the bank's forecast of 3.3%. In addition, energy prices may continue to retreat as the [Strait of Hormuz reopens](#), and the labour market is getting weaker. When the bank publishes its decision on Thursday, this will probably prove to have persuaded the majority to vote to hold the benchmark interest rate steady at 3.75%.

Keeping their distance

Britain



Sources: Bank of England; Haver Analytics

America's next trade tussle



Photograph: Reuters

Although America, Canada and Mexico have come together to host the World Cup, their trade negotiators are [preparing for a scrap](#). In Washington on Wednesday Mexican and American delegations will hold a second day of talks on extending their trade deal. Donald Trump signed it during his first term, and it runs until 2036. So why now? Under the terms, the three countries have until July 1st to extend it for another 16 years. If they miss that deadline, the deal will be subject to annual reviews. Mr Trump has said he will not agree to a renewal.

Wednesday's discussions are an opportunity for the parties to adjust the terms. America and Mexico discussed rules of origin for industrial goods in May; this round will focus more on agriculture. (Canada, for now, has received less attention.) Mr Trump is trying to extract concessions on security as well as trade. A simple resolution is unlikely.

Data bite: Ukraine's deep-strike campaign



Photograph:

Ukraine's campaign of long-range strikes inside Russia [is intensifying](#). This year, at the current pace, Ukrainian forces are on track to execute more than 800 deep strikes—defined as attacks more than 100km from the border. In 2025 they completed 685. The campaign is also reaching more of Russia's critical infrastructure. Last year over a third of strategic sites, including military facilities, airports and energy assets, lay within 5km of a reported strike, up from almost none in 2022. The strikes appear to be taking a toll. Russian oil-refinery output has fallen, fuel exports have been restricted and fossil-fuel revenues have lagged behind what oil prices alone would predict.

Daily Quiz



Illustration: Sandra Navarro

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Wednesday: Which rebellious song was Alice Cooper's greatest hit?

Tuesday: What title is given to the chief adviser to a ruler in the Game of Thrones series?

My work is a game, a very serious game.

M.C. Escher